

Where There's Smoke: Consumer Complaint Velocity as an Early Warning in Financials

Investment brief · Michael Miele · July 18, 2026 · companion to the technical note · github.com/michaelmiele07/alt-data-cfpb-complaints

The premise

Every consumer complaint filed with the CFPB against a financial company is public, timestamped, and named. When a lender's operations break — a botched servicing migration, a fee scheme, a fraud-handling failure — customers complain *before* the damage shows up in earnings, reserves, or an enforcement headline. Tracking each company's complaint velocity against its own history turns 17 million filings into a company-level operational-stress monitor that updates monthly and costs nothing.

The mechanism — and its measured limits

The CFPB itself mines this database to pick enforcement targets, so complaint spikes and regulatory risk are mechanically linked. Historically the link is tight: Block and Capital One spiked to all-time records in the exact month the CFPB sued each (Jan 2025), Navient in the month of its 2017 suit, Wells Fargo around its \$3.7B settlement. Honest boundary: the pre-committed cross-sectional return test is a **null** ($p=0.82$) — a naive monthly long-short on complaint growth does not pay, because the biggest spikes coincide with already-public news. The value is in *monitoring*, not mechanical ranking.

The investable universe

Credit bureaus	EFX, TRU, EXPGY — highest complaint volume; signal diluted by credit-repair templates (segmented out)
Money-center banks	JPM, BAC, WFC, C, USB, PNC, TFC, GS (consumer arm)
Cards & consumer credit	COF (now incl. Discover), SYF, AXP, BFH
Fintech / payments	XYZ (Block/Cash App), PYPL, AFRM, SOFI, CHYM, HOOD, COIN
Subprime lenders	OMF, CACC, ENVA, OPRT, WRLD, RM
Debt collectors	ECPG, PRAA — complaint flow is their core operating externality
Servicers	RKT (incl. Mr. Cooper), RITM (Shellpoint), NNI

How an investor would use it

Use it as a risk overlay and event monitor, not a standalone alpha signal. (1) **Short-side / avoid-list confirmation:** a sustained multi-month complaint build (not a one-month January blip) raises the probability of enforcement, remediation costs, and reserve builds — check any consumer-finance long against it. (2) **Event anticipation:** slower complaint builds that *precede* publicity are the leading component; the current watchlist is **AFRM and COF (June 2026, $z \approx 2.4\text{--}2.5$ on record volume)** — pre-registered check: escalation or reversion by January 2027. (3) **Diligence artifact:** for any servicer/fintech position, the per-company complaint mix (fees vs fraud vs servicing) reads like a free operational audit. Watch the artifacts: Rocket's 2026 spike is Mr. Cooper migration mechanics, not decay.

What could mislead you

Complaint spikes are partly reactive to news (confirmation, not prediction); January is seasonally heavy; company attribution shifts with M&A; the CFPB's own political fortunes could change intake behavior (volumes are at records through June 2026, so intake is currently healthy). Nothing here is investment advice — it is a monitoring framework with its limits measured and stated.

Data: CFPB public complaint database (public domain), 2011–June 2026. Methodology, validation, and the null result are in the technical note ([out/cfpb_complaint_velocity_note.pdf](#)).